



***UNAUDITED INTERIM
CONDENSED FINANCIAL
STATEMENTS***

JUNE 2018

I&M HOLDINGS PLC**STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME**

FOR THE PERIOD ENDED 30 JUNE 2018	COMPANY			GROUP		
	UNAUDITED	AUDITED	UNAUDITED	UNAUDITED	AUDITED	UNAUDITED
	30-Jun 2018 KShs '000'	31-Dec 2017 KShs '000'	30-Jun 2017 KShs '000'	30-Jun 2018 KShs '000'	31-Dec 2017 KShs '000'	30-Jun 2017 KShs '000'
Interest income	26,439	36,744	35,302	11,654,349	24,423,762	11,090,527
Interest expense	-	-	-	(4,788,586)	(8,869,275)	(4,229,236)
Net interest income	26,439	36,744	35,302	6,865,763	15,554,487	6,861,291
Fee and commission income	-	-	-	1,997,606	3,324,275	1,432,338
Fee and commission expense	-	-	-	(113,568)	(226,416)	(62,328)
Net fee and commission income	-	-	-	1,884,038	3,097,859	1,370,010
Revenue	26,439	36,744	35,302	8,749,801	18,652,346	8,231,301
Other operating income	1,423,476	4,197,186	4,123,534	1,722,449	2,438,551	1,334,903
Operating income	1,449,915	4,233,930	4,158,836	10,472,250	21,090,897	9,566,204
Staff costs	-	-	-	(2,079,133)	(3,752,209)	(1,910,311)
Premises and equipment costs	-	-	-	(364,501)	(693,479)	(327,269)
General expenses	(86,308)	(29,922)	(12,747)	(1,426,208)	(2,610,820)	(1,382,466)
Depreciation and amortisation	(11)	(94)	(47)	(291,994)	(561,610)	(261,863)
Operating expenses	(86,319)	(30,016)	(12,794)	(4,161,836)	(7,618,118)	(3,881,909)
Operating profit before impairment	1,363,596	4,203,914	4,146,042	6,310,414	13,472,779	5,684,295
Losses and tax	1,363,596	4,203,914	4,146,042	6,310,414	13,472,779	5,684,295
Net impairment losses on loans and advances	-	-	-	(1,411,851)	(4,133,170)	(965,564)
	1,363,596	4,203,914	4,146,042	4,898,563	9,339,609	4,718,731
Share of profit of Joint Venture	-	-	-	499,477	554,965	245,462
Profit before income tax	1,363,596	4,203,914	4,146,042	5,398,040	9,894,574	4,964,193
Income tax expense	(4,539)	(4,595)	(10,163)	(1,529,929)	(2,630,325)	(1,534,107)
Profit for the period	1,359,057	4,199,319	4,135,879	3,868,111	7,264,249	3,430,086
Other comprehensive income	-	-	-	(1,593,863)	143,411	543,701
Total comprehensive income for the period	1,359,057	4,199,319	4,135,879	2,274,248	7,407,660	3,973,787
Profit attributable to:						
Equity holders of the company	1,359,057	4,199,319	4,135,879	3,629,840	6,766,256	3,250,269
Non controlling interest	-	-	-	238,271	497,993	179,817
	1,359,057	4,199,319	4,135,879	3,868,111	7,264,249	3,430,086
Total comprehensive income attributable to:						
Equity holders of the company	1,359,057	4,199,319	4,135,879	2,212,005	7,118,881	3,887,824
Non controlling interest	-	-	-	62,243	288,779	85,963
	1,359,057	4,199,319	4,135,879	2,274,248	7,407,660	3,973,787
Basic and diluted earnings Per share - (KShs)	3.29	10.16	10.00	8.78	16.37	7.86
Dividends Per share - (KShs) - Final	-	3.50	-	-	3.50	-

I&M HOLDINGS PLC**STATEMENT OF FINANCIAL POSITION****AS AT 30 JUNE 2018**

	COMPANY			GROUP		
	UNAUDITED 30-Jun 2018 KShs '000'	AUDITED 31-Dec 2017 KShs '000'	UNAUDITED 30-Jun 2017 KShs '000'	UNAUDITED 30-Jun 2018 KShs '000'	AUDITED 31-Dec 2017 KShs '000'	UNAUDITED 30-Jun 2017 KShs '000'
ASSETS						
Cash and balances with central banks	-	-	-	12,881,724	11,879,815	10,270,907
Items in the course of collection	-	-	-	532,448	495,649	1,426,928
Placements with financial institutions	-	-	-	39,779,704	6,379,973	6,657,470
Loans and advances to customers	-	-	-	162,823,320	153,018,152	144,546,775
Investment securities	105,438	193,523	190,392	46,364,957	50,846,267	50,371,550
Investment in Joint Venture	1,679,971	1,679,971	1,679,971	4,452,304	4,267,166	3,884,730
Investment in subsidiaries	23,790,896	23,790,896	24,770,462	-	-	-
Property and equipment	-	11	58	5,948,982	5,335,853	4,905,986
Intangible assets - Goodwill	-	-	-	3,154,396	2,972,556	3,781,971
Intangible assets - Software	-	-	-	991,784	527,964	240,363
Prepaid operating lease rentals	-	-	-	256,105	265,940	262,253
Tax recoverable	5,206	5,799	-	929,455	606,193	621,433
Deferred tax asset	-	-	-	1,073,662	1,066,497	568,588
Due from group companies	158,833	152,452	131,614	-	-	-
Other assets	169,898	1,999	7,180	3,881,322	2,448,716	1,684,801
TOTAL ASSETS	25,910,242	25,824,651	26,779,677	283,070,163	240,110,741	229,223,755
LIABILITIES AND SHAREHOLDERS' EQUITY						
Liabilities						
Deposits from banks	-	-	-	7,421,898	5,996,295	5,900,602
Items in course of collection	-	-	-	-	-	-
Deposits from customers	-	-	-	210,897,814	169,282,314	161,526,916
Deferred tax liability	-	-	-	-	-	223,424
Tax payable	-	-	5,400	225,649	290,630	226,302
Due to group companies	90,519	10,909	10,929	-	-	-
Other liabilities	165,677	71,834	120,580	4,823,528	4,863,525	4,754,611
Long term borrowings	-	-	-	6,904,366	8,150,179	7,860,588
Subordinated debt	-	-	-	4,982,402	4,512,315	4,363,693
	256,196	82,743	136,909	235,255,657	193,095,258	184,856,136
Shareholders' equity						
Share capital	413,405	413,405	413,405	413,405	413,405	413,405
Share premium	18,805,359	18,805,359	19,784,926	18,805,359	18,805,359	19,784,926
Retained earnings	6,435,282	6,523,144	6,444,437	24,805,733	22,621,210	20,069,782
Revaluation reserve	-	-	-	800,051	805,901	723,004
Available-for-sale reserve	-	-	-	(175,166)	(125,292)	(70,236)
Translation reserve	-	-	-	(768,551)	(278,028)	(159,393)
Statutory credit risk reserve	-	-	-	1,290,214	2,163,403	1,215,100
Defined benefit reserve	-	-	-	(86,105)	(86,105)	(46,744)
Equity attributable to owners of the company	25,654,046	25,741,908	26,642,768	45,084,940	44,319,853	41,929,844
Non-controlling interest	-	-	-	2,729,566	2,695,630	2,437,775
TOTAL SHAREHOLDERS' EQUITY	25,654,046	25,741,908	26,642,768	47,814,506	47,015,483	44,367,619
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	25,910,242	25,824,651	26,779,677	283,070,163	240,110,741	229,223,755

I&M HOLDINGS PLC

UNAUDITED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY AS AT JUNE 2018

6 months period to 30 June 2018	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Available for sale Reserve Kshs '000'	Statutory Loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2018	413,405	18,805,359	805,901	(125,292)	2,163,403	(86,105)	2,077,298	22,621,210	(278,028)	44,319,853	2,695,630	47,015,483
Net profit after tax	-	-	-	-	-	-	-	3,629,840	-	3,629,840	238,271	3,868,111
Other comprehensive income	-	-	(5,850)	(49,874)	(873,189)	-	(873,189)	1,601	(490,523)	(1,417,835)	(176,028)	(1,593,863)
Total comprehensive income for the period	-	-	(5,850)	(49,874)	(873,189)	-	(873,189)	3,631,441	(490,523)	2,212,005	62,243	2,274,248
Transactions with owners:	-	-	-	-	-	-	-	-	-	-	-	-
Other transactions	-	-	-	-	-	-	-	-	-	-	179,550	179,550
Dividends Paid	-	-	-	-	-	-	-	(1,446,918)	-	(1,446,918)	(207,857)	(1,654,775)
Total transactions with owners for the period	-	-	-	-	-	-	-	(1,446,918)	-	(1,446,918)	(28,307)	(1,475,225)
	-	-	-	-	-	-	-	-	-	-	-	-
Balance as at 30 June 2018	413,405	18,805,359	800,051	(175,166)	1,290,214	(86,105)	1,204,109	24,805,733	(768,551)	45,084,940	2,729,566	47,814,506

For the year ended 31 December 2017	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Available for sale Reserve Kshs '000'	Statutory Loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2017	392,362	17,331,510	718,074	(353,536)	1,059,022	(46,744)	1,012,278	18,217,056	(287,996)	37,029,748	2,476,669	39,506,417
Net profit after tax	-	-	-	-	-	-	-	6,766,256	-	6,766,256	497,993	7,264,249
Other comprehensive income	-	-	87,827	228,244	981,131	(39,361)	941,770	(915,184)	9,968	352,625	(209,214)	143,411
Total comprehensive income for the period	-	-	87,827	228,244	981,131	(39,361)	941,770	5,851,072	9,968	7,118,881	288,779	7,407,660
Statutory credit risk	-	-	-	-	-	-	-	-	-	-	-	-
Transactions with owners:	-	-	-	-	-	-	-	-	-	-	-	-
Other transactions	21,043	1,473,849	-	-	123,250	-	-	-	-	1,618,142	55,039	1,673,181
Dividends Paid	-	-	-	-	-	-	-	(1,446,918)	-	(1,446,918)	(124,857)	(1,571,775)
Total transactions with owners for the year	21,043	1,473,849	-	-	123,250	-	-	(1,446,918)	-	171,224	(69,818)	101,406
	-	-	-	-	-	-	-	-	-	-	-	-
Balance as at 31 December 2017	413,405	18,805,359	805,901	(125,292)	2,163,403	(86,105)	1,954,048	22,621,210	(278,028)	44,319,853	2,695,630	47,015,483

6 months period to 30 June 2017	Share capital Kshs '000'	Share premium Kshs '000'	Revaluation reserve Kshs '000'	Available for sale Reserve Kshs '000'	Statutory Loans reserve Kshs '000'	Retirement reserve Kshs '000'	Total reserve Kshs '000'	Retained earnings Kshs '000'	Translation reserve Kshs '000'	Total Kshs '000'	Non controlling interest Kshs '000'	Total Kshs '000'
At 1 January 2017	392,362	17,331,510	718,074	(353,536)	1,059,022	(46,744)	1,012,278	18,217,056	(287,996)	37,029,748	2,476,669	39,506,417
Total comprehensive income for the period	-	-	-	-	-	-	-	-	-	-	-	-
Net profit after tax	-	-	-	-	-	-	-	3,250,269	-	3,250,269	179,817	3,430,086
Other comprehensive income	-	-	4,930	283,300	156,078	-	156,078	64,644	128,603	637,555	(93,854)	543,701
Total comprehensive income for the period	-	-	4,930	283,300	156,078	-	156,078	3,314,913	128,603	3,887,824	85,963	3,973,787
Transactions with owners:	-	-	-	-	-	-	-	-	-	-	-	-
Other transactions	21,043	2,453,416	-	-	-	-	-	-	-	2,474,459	55,039	2,529,498
Dividends Paid	-	-	-	-	-	-	-	(1,462,187)	-	(1,462,187)	(124,857)	(1,587,044)
Total transactions with owners for the year	21,043	2,453,416	-	-	-	-	-	(1,462,187)	-	1,012,272	(69,818)	942,454
Balance as at 30 June 2017	413,405	19,784,926	723,004	(70,236)	1,215,100	(46,744)	1,168,356	20,069,782	(159,393)	41,929,844	2,437,775	44,367,619

I&M HOLDINGS PLC			
CONSOLIDATED STATEMENT OF CASH FLOWS		UNAUDITED	AUDITED
FOR THE PERIOD ENDED 30 JUNE 2018		30-Jun 2018 KShs '000'	31-Dec 2017 KShs '000'
			UNAUDITED
			30-Jun 2017 KShs '000'
Net cash used in operating activities		28,031,937	13,726,150
Cash flows from investing activities			
Purchase of property and equipment	(910,187)	(1,577,192)	(826,040)
Purchase of intangible assets	(562,265)	(440,403)	(73,400)
Purchase of property and equipment directly expensed	-	(16,034)	-
Proceeds from disposal of property and equipment	8,305	3,665	-
Acquisition of Youjays Insurance Brokers Limited net of cash and cash equivalent	(273,440)	(1,351,684)	536,362
Net cash used in investing activities	(1,737,587)	(3,381,648)	(363,078)
Cash flows from financing activities			
Net inflows/(outflows) from term subordinated debt	504,453	-	(182,988)
Dividend paid to shareholders of the company	(1,446,918)	(1,446,918)	(1,462,187)
Dividend paid to non-controlling interests	(90,174)	(59,918)	(160,671)
Dividends received from Joint Venture	-	-	38,081
Capital restructuring costs	-	(72,835)	-
Net cash generated from financing activities	(1,032,639)	(1,579,671)	(1,767,765)
Net increase in cash and cash equivalents	25,261,711	8,764,831	3,874,263
Cash and cash equivalents at beginning of period	20,633,600	11,868,769	11,868,769
Cash and cash equivalents at end of period	45,895,311	20,633,600	15,743,032

I&M HOLDINGS PLC
NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1 REPORTING ENTITY

I&M Holdings PLC (the "Company"), is a non-operating holding company licensed by the Central Bank of Kenya under the Kenyan Banking Act (Chapter 488). The Company is incorporated in Kenya under the Kenyan Companies Act and comprises banking subsidiaries in Kenya, Tanzania, Rwanda and a joint venture in Mauritius. The consolidated financial statements as at and for the period ended 30 June 2018 comprise of entities in Kenya – I&M Bank Limited, I&M Capital Limited, I&M Realty Limited, Giro Limited, I&M Insurance Agency Limited and Youjays Insurance Brokers Limited, I&M Bank (T) Limited in Tanzania, and I&M Bank (Rwanda) Limited in Rwanda, I&M Burbidge Capital Limited and a joint venture - Bank One Limited in Mauritius (together referred to as the "Group"). The address of its registered office is as follows:

I&M Bank House
2nd Ngong Avenue
P O Box 30238
00100 Nairobi GPO

Through I&M Bank Limited, the Company has:

- (i) 70.38% shareholding in I&M Bank (T) Limited; and
- (ii) 100% shareholding in I&M Insurance Agency Limited (incorporated on 23 July 2014) which owns 100% of Youjays Insurance Brokers Limited (effective 31 March 2018).

The Company owns the following entities directly:

- (i) Bank One Limited - 50% interest in Bank One Limited, a joint venture in a bank licensed in Mauritius;
- (ii) I&M Bank LIMITED – 100% shareholding; and
- (iii) I&M Bank (Rwanda) Limited – effective interest of 54.45% in I&M Bank (Rwanda) Limited through a 68.742% holding in BCR Investment Company Limited (Mauritius) which owns 79.208% shareholding in I&M Bank (Rwanda) Limited.
- (iv) I&M Capital Limited – 100% Shareholding
- (v) I&M Realty Limited – 100% Shareholding
- (vi) I&M Burbidge Capital Limited, which owns 100% of I&M Burbidge Capital Uganda Limited – 65% Shareholding and
- (vii) Giro Limited [formerly Giro Commercial Bank Limited] – 100% Shareholding

2 BASIS OF PREPARATION

The principal accounting policies adopted in these consolidated interim financial statements are consistent with those used in the Audited Annual Financial Statements for the year ended 31 December 2017.

These semi annually financial statements should be read together with the 2017 Audited Annual Financial Statements.

3 ACQUISITION OF YOUJAYS INSURANCE BROKERS LIMITED (YIB)

On 25 October 2017, I&M Insurance Agency Limited (IMIAL), a wholly owned subsidiary of I&M Holdings Limited, entered into a Share Purchase Agreement with the shareholders of Youjays Insurance Brokers Limited (YIB) to acquire 100% shareholding in YIB. Following the receipt of all regulatory approvals and the satisfactory completion of all conditions precedent outlined in the Sale and Purchase Agreement, IMIAL successfully completed this acquisition on 31 March 2018. The results of YIB are consolidated in these financials.

4 DIVIDEND PER SHARE

At the Annual General Meeting held on 24 May 2018, a final dividend in respect of the year ended 31 December 2017 of Kshs 3.50 per share [2016 - Kshs 3.50] amounting to a total of Kshs 1,446,918,791 was approved by the shareholders and paid.

5 SEGMENT REPORTING

The group operations are within five geographical segments: Kenya, Tanzania, Rwanda, Uganda and Mauritius. The table below contains segmental information provided to the Group Executive Committee.

30-June-2018 UNAUDITED	Kenya KShs `000	Tanzania KShs `000	Rwanda KShs `000	Uganda KShs `000	Mauritius KShs `000	Total KShs `000
Statement of Profit or Loss Disclosures						
Operating income	8,197,020	679,943	1,595,391	(104)	-	10,472,250
Profit before tax	4,031,715	247,357	623,969	(1,390)	(3,088)	4,898,563
Share of profit of Joint Venture	-	-	-	-	499,477	499,477
Profit after tax	2,793,517	174,015	405,580	(1,390)	496,389	3,868,111
Financial Position Disclosures						
Loans and advances to customers	129,516,118	15,155,967	18,151,235	-	-	162,823,320
Investment in Joint Venture	-	-	-	-	4,452,304	4,452,304
Customer deposits	174,772,317	14,368,102	21,757,395	-	-	210,897,814
Total Assets	223,404,657	22,552,274	33,145,263	3,126	3,964,843	283,070,163

31-December-2017 AUDITED	Kenya KShs `000	Tanzania KShs `000	Rwanda KShs `000	Uganda KShs `000	Mauritius KShs `000	Total KShs `000
Statement of Profit or Loss Disclosures						
Operating income	16,730,406	1,439,552	2,919,314	1,625	-	21,090,897
Profit/(loss) before tax	7,793,523	325,604	1,221,912	(1,430)	-	9,339,609
Share of profit of Joint Venture	-	-	-	-	554,965	554,965
Profit after tax	5,743,468	228,066	808,137	(2,090)	486,668	7,264,249
Financial Position Disclosures						
Loans and advances to customers	120,656,818	14,441,576	17,919,758	-	-	153,018,152
Investment in Joint Venture	-	-	-	-	4,267,166	4,267,166
Customer deposits	132,800,892	14,781,279	21,700,143	-	-	169,282,314
Total Assets	183,442,174	20,557,303	32,326,621	4,020	3,780,623	240,110,741

30-June-2017 UNAUDITED	Kenya Shs `000	Tanzania Shs `000	Rwanda Shs `000	Uganda KShs `000	Mauritius Shs `000	Total Shs `000
Statement of Profit or Loss Disclosures						
Operating income	7,576,309	669,029	1,320,439	428	-	9,566,204
Profit before tax	4,026,660	127,601	565,492	(1,021)	-	4,718,731
Share of profit of Joint Venture	-	-	-	-	245,462	245,462
Profit after tax	2,760,333	66,571	358,741	(1,021)	245,462	3,430,086
Financial Position Disclosures						
Loans and advances to customers	114,994,774	14,249,262	15,302,739	-	-	144,546,775
Investment in Joint Venture	-	-	-	-	3,884,730	3,884,730
Customer deposits	126,752,433	13,885,413	20,889,070	-	-	161,526,916
Total Assets	178,024,567	20,059,332	27,724,883	5,649	3,409,324	229,223,755